

Charles Cohen's \$204M Counterclaim: The Foreclosure Process Is the Next Battleground

Cohen's damages claim against Fortress reveals the high stakes of UCC auction procedures in distressed CRE.

The most revealing number in Charles Cohen's renewed legal fight with Fortress Investment Group is not the \$187 million judgment he just satisfied. It is the \$204 million in damages he is now seeking from the lender. Cohen's claim, referenced in a letter from his attorney, alleges that Fortress's out-of-court UCC foreclosure auction of four former Cohen properties was not conducted in a commercially reasonable manner.

The lawsuit, filed a year ago, argues that the portfolio should have been marketed differently, with different brokers and different timing. Cohen contends that Fortress acquired the assets for \$150 million, or \$85 million below the lender's own internal valuation. This is not a borrower grasping at procedural straws after losing control of his assets. It is a calculated attempt to turn the foreclosure process itself into a source of recovery.

And it carries a warning for every lender that has taken or is considering taking collateral through a UCC sale. The timing matters. Cohen just closed the chapter on the \$187 million debt, satisfying the judgment after a multiyear battle that saw him lose several Manhattan office towers. The appellate court ruled in Fortress's favor in February 2025, and a lower court entered the judgment a month later.

A receiver was appointed for Cohen's ownership interests in March 2026. The debt appeared resolved. But Cohen is not done. By reviving the damages claim now, he is signaling that the foreclosure process itself is contestable. The allegation is straightforward: Fortress, as the credit bidder, had an incentive to minimize the auction price to maximize its own recovery on the debt.

If the auction was not commercially reasonable, the argument goes, the price was artificially low, and Cohen was harmed. The economics of the claim are stark. Cohen is seeking \$204 million in damages against a lender that already holds a \$187 million judgment against him. The math is not symmetrical. But the legal theory is not frivolous. UCC foreclosures require lenders to act in a commercially reasonable manner.

Courts have held lenders accountable for fire-sale processes that depress value. For the CRE capital markets, this fight matters beyond the personalities involved. UCC foreclosures have become a standard tool for lenders to take control of distressed assets without the delays of judicial foreclosure. They are faster, cheaper, and give lenders more control over timing and process. But they also create exposure.

Every UCC sale is a potential lawsuit if the borrower can point to a flawed process. Fortress has denied Cohen's allegations. The lender has said it will continue pursuing other claims against Cohen. But the damages claim introduces a new variable into the workout calculus.

Lenders that rely on UCC foreclosures must now weigh not just the recovery on the debt but the risk of a counterclaim that could wipe out the economic benefit of the sale. The market should watch how this case unfolds.

If Cohen prevails, it will embolden other borrowers to challenge UCC sales, particularly in markets where asset values have fallen sharply and the gap between the credit bid and the borrower's perceived value is wide. Lenders will face pressure to document their marketing efforts, hire independent brokers, and run processes that can withstand scrutiny.

If Fortress prevails, it will reinforce the efficiency of UCC foreclosures and give lenders more confidence to use them as a primary recovery tool. Either way, the case will shape how distressed debt is resolved in the current cycle. Cohen is not trying to get his buildings back. He is trying to make the foreclosure process expensive for the lender that took them.

That is a different kind of fight, and it is one that every lender with a UCC sale in its future should be watching.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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